Title: Beyond Adoption: Examining the Role of Trust and Habit in Determining Continued Use of Mobile Banking Applications

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1. Introduction

The proliferation of smartphones has catalyzed a revolution in the banking sector, with mobile banking (m-banking) becoming a primary channel for financial transactions. While significant research has focused on the initial adoption of m-banking—often using technology acceptance models—a pressing issue has emerged: **post-adoption abandonment**. Many users download the app, use it once or twice, and then revert to traditional channels or simply stop using it. This represents a significant loss of investment for banks and a failure to realize the full potential of digital transformation.

Understanding the factors that drive *continued use* is therefore more critical than understanding initial adoption. Continued use is a volitional behaviour sustained over time, distinct from the initial decision to try a technology. This study posits that two factors are paramount in this phase: **habit** and **trust**.

Habit, defined as the automatic tendency to perform a behaviour learned through frequent repetition, is a powerful driver of routine activities like checking account balances or transferring funds. Meanwhile, trust remains a perennial concern in financial services, especially in the digital realm where perceived risks around security and privacy are high. Trust is hypothesized not only to directly influence continued use but also to create the secure environment necessary for habits to form.

This research integrates the extended Unified Theory of Acceptance and Use of Technology (UTAUT2)—which includes habit as a key construct—with a robust model of trust. It investigates the interplay between performance perceptions, trust, habit, and continued use. The study was conducted in a developing economy context, where m-banking is seen as a key tool for financial inclusion, making the issue of sustained use particularly salient. The findings provide a holistic framework for banks to design strategies that not only attract users but also turn them into loyal, habitual m-banking consumers.

2. Methods

2.1. Research Model and Hypotheses

The researchers developed an integrated model based on UTAUT2, incorporating:

- **UTAUT2 Constructs:** Performance Expectancy, Effort Expectancy, Social Influence, Facilitating Conditions, Hedonic Motivation, Price Value, and Habit.
- **Additional Constructs:** Trust (ability, integrity, benevolence), Satisfaction, and Continued Use Intention.
  The model proposed that Performance Expectancy, Effort Expectancy, and Trust directly influence Satisfaction and Habit. Furthermore, Trust was hypothesized to be influenced by Facilitating Conditions. Habit and Satisfaction were proposed as the primary direct antecedents of Continued Use Intention.

2.2. Data Collection and Sample

A survey instrument was developed using validated scales from prior literature. All items were measured on a seven-point Likert scale. The questionnaire was distributed online to customers of major banks in a developing Asian country. A screening question ensured that all respondents had been using m-banking for at least six months. The final sample consisted of 487 usable responses.

2.3. Data Analysis

The data analysis followed a two-step approach using SmartPLS software:

1. **Measurement Model Assessment:** Confirmatory Factor Analysis (CFA) was conducted to evaluate reliability and validity. The model showed good reliability (all composite reliability scores > 0.7), convergent validity (Average Variance Extracted > 0.5 for all constructs), and discriminant validity (Fornell-Larcker criterion was met).
2. **Structural Model Assessment:** Structural Equation Modeling (SEM) was used to test the hypothesized relationships (path coefficients) and their significance. The model's predictive accuracy (R^2 value) for the dependent variable (Continued Use Intention) was also examined.

3. Results

The results from the structural model analysis provided strong support for the integrated model.

- **Key Direct Effects:** As hypothesized, **Habit** ($\beta = 0.341$, $p < 0.001$) and **Satisfaction** ($\beta = 0.298$, $p < 0.001$) were the strongest direct predictors of Continued Use Intention.
- **Antecedents of Habit and Satisfaction: Performance Expectancy** ($\beta = 0.264$, $p < 0.001$) and **Effort Expectancy** ($\beta = 0.193$, $p < 0.01$) were significant predictors of Satisfaction. Most importantly, **Trust** had a significant and substantial impact on both **Satisfaction** ($\beta = 0.227$, $p < 0.001$) and **Habit**($\beta = 0.182$, $p < 0.01$).
- **The Role of Facilitating Conditions: Facilitating Conditions** was a significant antecedent of **Trust**($\beta = 0.385$, $p < 0.001$), indicating that a reliable infrastructure and helpful support resources are fundamental to building user trust.

- **Predictive Power:** The model explained a high percentage of the variance in Continued Use Intention ($R^2 = 0.687$), demonstrating its strong explanatory power.

4. Discussion

4.1. Key Findings

This study makes a clear and important distinction between the drivers of initial adoption and those of continued use. It demonstrates that while classic factors like perceived usefulness (performance expectancy) and ease of use (effort expectancy) remain important, their influence in the post-adoption phase is largely mediated through satisfaction. The headline finding is the paramount importance of **habit** as the single strongest direct driver of ongoing usage. When m-banking becomes an automatic, ingrained behaviour, continued use is virtually guaranteed.

Furthermore, the research establishes **trust** as a critical foundational pillar. It is not merely a direct influencer but a key enabler that fosters satisfaction and provides the psychological security necessary for users to repetitively use the app until it becomes a habit. The finding that facilitating conditions (e.g., reliable connectivity, easy-to-follow guides, accessible customer support) build trust highlights the importance of investment in the entire service ecosystem, not just the app itself.

4.2. Theoretical and Practical Implications

Theoretically, this research successfully integrates a trust-based model with UTAUT2, providing a more comprehensive framework for understanding post-adoption behaviour in high-risk, high-involvement contexts like m-banking.

For practitioners, the implications are strategic:

1. **Design for Habit Formation:** Banks should focus on features that encourage routine use, such as personalized notifications, quick balance checks, and effortless bill payments. The user experience should be streamlined to minimize cognitive effort, reinforcing automatic use.
2. **Build Trust through Action and Assurance:** Beyond marketing claims, trust must be built through transparent security practices (e.g., educating users on security features), absolute reliability (minimizing app downtime), and robust customer support for when things go wrong.
3. **Invest in the Enabling Environment:** Ensuring strong facilitating conditions—like a stable and fast app, integration with other services, and educational resources—is not an operational detail but a core strategic activity that underpins trust and habit.

4.3. Limitations and Future Research

The study's context (a single developing country) may limit generalizability. Future research could test this model in developed economies with more mature digital banking landscapes. Additionally, a longitudinal study could track how the relationships between trust, habit, and use evolve over an extended period. Finally, incorporating actual usage data from app analytics, rather than just behavioural intentions, could strengthen the findings.